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Coca-Cola Co/The Earnings Call

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10/21/25

Guidance

- The company reiterated its 2025 guidance, expecting organic revenue growth of 5-6% and comparable currency-neutral EPS growth of approximately 8%
- For 2025, they expect:
 - 1-2% currency headwind to comparable net revenues
 - ~5% currency headwind to comparable EPS
 - Underlying effective tax rate of 20.7%
 - Comparable EPS growth of ~3% vs \$2.88 in 2024
 - At least \$9.8B in free cash flow (excluding fairlife payment)
- For 2026, early considerations include:
 - Calendar shift affecting quarterly timing
 - Focus on balanced top-line growth with volume as priority
 - Expected normalization of pricing as inflation moderates
 - Manageable commodity cost inflation
 - Slight currency tailwind expected for revenues and EPS

Margin Story

- Comparable gross margin declined by approximately 10 basis points in Q3, while comparable operating margin increased by approximately 120 basis points
- The company's operating margin has significantly improved since 2017 (when it was 26.5%), driven by two main factors: refranchising efforts and ongoing focus on margin expansion aligned with their long-term growth model, though partially offset by FX headwinds
- Recent margin expansion has been driven primarily by cost management initiatives, including supply chain efficiencies and marketing productivity improvements
- For 2026, the company expects a slight currency tailwind that should benefit margins, though they note that marketing productivity benefits seen in 2025 may not repeat at the same level

AI Strategy

- The only mention of AI in the document was in the context of future productivity initiatives, where James Quincey indicated that AI and "agentic tech" would be part of ongoing productivity efforts in 2026

Material Costs

- Management indicated they are experiencing some cost inflation in commodities but believe it is manageable overall
- They noted there could be variability in commodity costs due to volatility and trade dynamics

Inventory

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- The company gained share of visible inventory in North America as part of their system's execution efforts
- Working capital benefits from the prior year impacted free cash flow comparisons

Competition

- Coca-Cola has consistently been winning market share, gaining overall value share for 18 consecutive quarters and holding/gaining value share across geographic segments
- The company has significant portfolio strength compared to competitors, with approximately double the number of billion-dollar brands as their nearest competitor
- There is increasing regionalization of competition, with more dynamism from regional and local competitors. This isn't just about affordability but also involves brand identity and innovation
- The company is responding to increased regional competition by driving more resources to local markets to enable different responses in different places

Market Share

- The company gained overall value share for the 18th consecutive quarter and held or gained value share across all geographic segments
- In North America, they gained value share while delivering strong revenue and profit growth
- In Latin America, they gained value share despite flat volume
- In Asia Pacific, they gained value share despite volume declines
- Their Santa Clara brand became the value share leader in value-added dairy in Mexico

ESG Strategy

- Based on my review of the earnings call transcript, there were no explicit discussions of environmental issues, environmental policies, or ESG-related environmental topics. The conversation focused primarily on business performance, market conditions, consumer trends, and strategic initiatives. While topics like weather impacts on sales were mentioned, these were discussed purely from a business performance perspective rather than an environmental one

Capital Allocation

- Based on my review of the earnings call transcript, there were no explicit mentions of share buybacks or dividends. The only indirect reference was a brief mention of returning capital to shareholders as part of capital allocation priorities
- Regarding capex, there were no direct discussions of specific capital expenditure amounts or plans in the transcript. The closest reference was about bottlers investing in capabilities

M&A

- Coca-Cola announced the sale of a 40% stake in their Indian bottler to Jubilant Bhartia Group and Coca-Cola Hellenic's planned acquisition of a controlling interest in Coca-Cola Beverages Africa
- These two transactions represent the final major pieces of Coca-Cola's refranchising strategy that began in 2015, with only a few smaller markets like Malaysia and Singapore remaining
- The company emphasized finding the right ownership partners who would invest in capabilities and drive better performance

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Labor

- The earnings call transcript contains very limited direct discussion of labor and employment matters. The only notable mention was James Quincey's indication that the company plans to do some organizational restructuring in 2026 as part of their productivity initiatives

Macro Environment

- The operating environment remained complex, with some consumers under pressure from inflation, trade uncertainty, and geopolitical factors
- Pricing actions are moderating as inflation eases, with Q3 price/mix growth of 6% driven by 4% pricing and 2% favorable mix
- Consumer spending patterns show divergence between income groups, particularly in North America
- For 2026, the company expects pricing to normalize as inflation moderates, with a focus on both affordability and premiumization
- While commodity cost inflation continues, the company views it as manageable, though supply chain volatility remains a risk
- Currency headwinds are expected to shift to tailwinds in 2026

Supply Chain

- The company is driving productivity through supply chain efficiencies
- For 2026, while overall commodity cost inflation is viewed as manageable, there are concerns about volatility in sourcing certain items
- The dairy supply chain is noted as being particularly complex internationally

Pricing

- Price/mix grew 6% in Q3, driven by approximately 4 points from pricing actions and 2 points from favorable mix, with pricing from high inflation markets moderating
- The company expects pricing to normalize in 2026 as inflation moderates, with a strategy to balance affordability and premiumization based on market demands
- In North America, the company is addressing different income segments through both premium offerings and affordability measures
- The company's long-term growth model aims for balanced growth with 2-3% from volume and 2-3% from pricing

Product Development

- The company launched several new innovations including Sprite plus tea in North America, Bacardi mixed with Coca-Cola in Mexico and Europe, and Powerade Springboks edition in South Africa
- Innovation has been a significant contributor to revenue growth with strong product velocities
- In Diet Coke specifically, they launched Retro Diet Coke with Cherry and are bringing back Retro Diet Coke with Lime nationwide in the US
- The company launched Cappy Bubble in Turkey

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